



INTERIM FINANCIAL STATEMENTS

30 JUNE 2019



Arpico Insurance PLC

STATEMENT OF COMPREHENSIVE INCOME

For the Three Months Ended 30 June

		Three Months Ended 30 June 2019 Unaudited	Three Months Ended 30 June 2018 Unaudited
	Note	Rs	Rs
Revenue		424,011,513	370,145,383
Gross written premium	3	348,484,973	321,803,007
Premium ceded to reinsurers	3	(11,759,545)	(9,721,587)
Net written premium		336,725,428	312,081,420
Other Revenue			
Fee and Commission Income	3	6,835,139	6,626,105
Income from investments	5	64,823,580	50,009,443
Realise Gain	3	13,760,297	-
Other Income	3	1,867,070	1,428,415
Total Other revenue		87,286,085	58,063,963
Net Income		424,011,513	370,145,383
Net insurance benefits and claims paid		(52,497,444)	(26,653,949)
Net change in insurance claims outstanding		(4,222,150)	222,755
Underwriting and Net Acquisition Costs		(162,624,996)	(138,006,797)
Change in Contract Liabilities - Life Fund		(74,047,978)	(102,620,584)
Other operating and administrative expenses		(108,794,619)	(86,263,548)
Net benefits and claims		(402,187,188)	(353,322,123)
Profit/(Loss) before tax		21,824,326	16,823,260
Income tax expense		-	-
Profit/(Loss) for the Period		21,824,326	16,823,260

Arpico Insurance PLC

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Three Months Ended 30 June

	Three Months Ended 30 June 2019 Unaudited	Three Months Ended 30 June 2018 Unaudited
Notes	Rs	Rs
Profit / (Loss) for the year	21,824,326	16,823,260
Other Comprehensive Income		
Other comprehensive income to be reclassified to profit or loss in subsequent periods		
Net change in fair value of available-for-sale assets	2,211,330	(636,908)
Fair value movement of AFS reserve transferred to life fund	(2,211,330)	636,908
Other comprehensive income not to be reclassified to profit or loss in subsequent periods		
Re-measurement gain on defined benefit Plan	-	-
Other Comprehensive Income	-	-
Total Comprehensive Income for the Period	21,824,326	16,823,260

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

Arpico Insurance PLC

STATEMENT OF COMPREHENSIVE INCOME

For the Six Months Ended 30 June

		Six Months Ended 30 June 2019 Unaudited Rs	Six Months Ended 30 June 2018 Unaudited Rs
	Note		
Revenue		820,986,227	759,940,868
Gross written premium	3	681,335,304	667,914,839
Premium ceded to reinsurers	3	(24,276,905)	(17,256,347)
Net written premium		657,058,399	650,658,492
Other Revenue			
Fee and Commission Income	3	14,207,087	13,083,192
Income from investments	5	124,398,336	93,098,143
Realise Gain	3	21,327,018	-
Other Income	3	3,995,388	3,101,041
Total Other revenue		163,927,828	109,282,376
Net Income		820,986,227	759,940,868
Net insurance benefits and claims paid		(120,138,372)	(62,407,888)
Net change in insurance claims outstanding		(6,143,354)	1,036,624
Underwriting and Net Acquisition Costs		(318,866,062)	(277,757,931)
Change in Contract Liabilities - Life Fund		(135,739,990)	(231,742,514)
Other operating and administrative expenses		(197,937,239)	(157,968,536)
Net benefits and claims		(778,825,018)	(728,840,245)
Profit/(Loss) before tax		42,161,210	31,100,623
Income tax expense		-	-
Profit/(Loss) for the Period		42,161,210	31,100,623

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Six Months Ended 30 June

	Notes	Six Months Ended 30 June 2019 Unaudited Rs	Six Months Ended 30 June 2018 Unaudited Rs
Profit / (Loss) for the year		42,161,210	31,100,623
Other Comprehensive Income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets		10,291,006	1,000,646
Fair value movement of AFS reserve transferred to life fund		(10,291,006)	(1,000,646)
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurement gain on defined benefit Plan		-	-
Other Comprehensive Income		-	-
Total Comprehensive Income for the Period		42,161,210	31,100,623

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

Arpico Insurance PLC

STATEMENT OF FINANCIAL POSITION

As at 30 June 2019

	Notes	30-Jun-19 Unaudited Rs.	31-Dec-18 Audited Rs.
Assets			
Property, Plant and Equipment		67,135,086	63,045,746
Right Of Use Asset	7	129,875,441	-
Intangible Asset		766,250	303,750
Financial Assets	8	2,223,339,402	2,028,265,792
Loans to Life Policy Holders		247,136,720	228,616,921
Reinsurance Receivable		52,144,023	26,939,303
Amounts due from related party		31,944,053	26,907,609
Premium Receivable		65,186,558	73,071,532
Other Assets		74,090,620	74,414,275
Deferred tax asset		304,428,385	304,428,385
Cash and Cash Equivalents		230,237,651	170,483,254
Total Assets		3,426,284,189	2,996,476,567
Equity and liabilities			
Shareholders' Equity			
Stated capital		675,564,870	675,564,870
Revenue Reserves		798,914,197	756,752,988
Total Shareholders' Equity		1,474,479,067	1,432,317,858
Liabilities			
Insurance Provision - Life	9	1,471,900,395	1,325,869,400
Employee Benefit Obligation		10,946,053	9,488,251
Reinsurance Creditors		54,010,914	50,022,714
Lease Creditors		132,989,854	
Amounts Due to Related Party	11	14,620,760	7,184,537
Financial Liabilities		198,577,882	115,608,712
Other liabilities		68,759,264	55,985,095
Total Liabilities		1,951,805,122	1,564,158,709
Total Liabilities and Shareholders' Equity		3,426,284,189	2,996,476,567

These Financial Statements are prepared in compliance with the requirements of the Companies Act No. 07 of 2007.


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DGM -Finance & Operations
(Melanga A Doolwala)

The Board of Directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.


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Director
(Viville Perera)


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Director
(Shiron Gooneratne)

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

12 August 2019
Colombo

Arpico Insurance PLC

STATEMENT OF CASH FLOW

For the Six Months Ended 30 June

	Notes	2019 Rs.	2018 Rs.
Operating activities			
Receipts from Policyholders		689,220,279	668,511,173
Payment to ReInsurer		(20,288,706)	(6,098,269)
Claims paid		(143,084,504)	(70,794,074)
Reinsurance receipts in respect of claims		20,288,706	6,074,217
Payments to Suppliers and Employees		(272,398,777)	(316,139,289)
Cash Inflow from Operating Activities		273,736,998	281,553,759
Tax Paid		(3,420,999)	(5,495,140)
Net Cash Flows from Operating Activities		270,315,999	276,058,619
Investing activities			
Purchase of property and equipment		(15,487,992)	(22,397,223)
Purchase of Intangible Asset		(570,000)	-
Disposal of Property Plant and Equipment		-	-
Net drawdown of Investments		(195,073,609)	(179,123,342)
Net cash flows used in investing activities		(210,561,602)	(201,520,565)
Financing Activities			
Proceeds from Share issue		-	-
Stamp Duty on Share Allotment		-	-
Dividend payment		-	-
Net cash flows used in financing activities		-	-
Net (decrease)/increase in cash and cash equivalents		59,754,397	74,538,054
Cash and cash equivalents at 1 January		170,483,254	320,778,531
Cash and cash equivalents at 30 June		230,237,651	395,316,585
Analysis of Cash and Cash Equivalents			
Favourable Balances			
Cash at Hand		438,629	318,856
Cash at Bank		229,799,022	394,997,730
Short Term Investments		-	-
		230,237,651	395,316,586
Unfavourable Balances			
Bank Overdrafts		-	-
Total Cash and Cash Equivalents		230,237,651	395,316,586

Arpico Insurance PLC

STATEMENT OF CHANGES IN EQUITY

For the Six Months Ended 30 June

	Stated Capital Rs.	AFS reserve Rs.	Revenue Reserve Rs.	Total Rs.
Balance as at 1 January 2018	675,564,870	-	257,632,154	933,197,024
Issue of share capital	-	-	-	-
Other Comprehensive Income	-	-	-	-
Net profit for the period	-	-	31,100,623	31,100,623
Dividend Declared	-	-	-	-
Unaudited Balance as at 30 June 2018	675,564,870	-	288,732,776	964,297,647
Issue of share capital	-	-	-	-
Share Issue Expenses	-	-	-	-
Dividend Declared	-	-	-	-
Other Comprehensive Income	-	-	(63,679)	(63,679)
Net profit for the period	-	-	468,083,890	468,083,890
Audited Balance as at 31 December 2018	675,564,870	-	756,752,988	1,432,317,858
Issue of share capital	-	-	-	-
Other Comprehensive Income	-	-	-	-
Net profit for the period	-	-	42,161,210	42,161,210
Dividend Declared	-	-	-	-
Unaudited Balance as at 30 June 2019	675,564,870	-	798,914,198	1,474,479,068

Arpico Insurance PLC

Notes to Interim Financial Statements

- Figures in the these Condensed Interim Financial Statements for the period ended 30th June 2019 are provisional and unaudited.
- The Condensed Interim Financial Statements have been prepared in accordance with Sri Lanka Accounting and Auditing Standards, which requires compliance with Sri Lanka Accounting Standards promulgated by the Institute of Chartered Accountants of Sri Lanka (CA-Sri Lanka) and comply with the requirements of the Companies Act, No. 7 of 2007 and the Regulation of Insurance Industry Act, No. 43 of 2000 and the listing rules of the Colombo Stock Exchange. The same accounting policies and methods of computation as stated in the Audited Financial Statements - 2017 have been followed in preparation of these Condensed Interim Financial Statements. Comparative information have been re-valued/re-classified where necessary, to conform to the current period recognition, measurement and presentations.

3. REVENUE		Notes	Six Months Ended 30 June Unaudited 2019 Rs	Six Months Ended 30 June Unaudited 2018 Rs	Three Months Ended 30 June Unaudited 2019 Rs	Three Months Ended 30 June Unaudited 2018 Rs
	Gross Written Premium	4(a)	681,335,304	667,914,839	348,484,973	321,803,007
	Premium Ceded to Reinsurers	4(b)	(24,276,905)	(17,256,347)	(11,759,545)	(9,721,587)
	Net Written Premium		657,058,399	650,658,492	336,725,428	312,081,420
	Fees and commission income		14,207,087	13,083,192	6,835,139	6,626,105
	Investment income		124,398,336	93,098,143	64,823,581	50,009,443
	Other operating revenue		3,995,388	3,101,041	1,867,070	1,428,415
	Realise Gain		21,327,018	-	13,760,297	-
	Total Revenue		820,986,227	759,940,868	424,011,514	370,145,383
4. NET WRITTEN PREMIUMS	4(a) Gross premiums on insurance contracts		Six Months Ended 30 June Unaudited 2019 Rs	Six Months Ended 30 June Unaudited 2018 Rs	Three Months Ended 30 June Unaudited 2019 Rs	Three Months Ended 30 June Unaudited 2018 Rs
	Conventional Policies		681,335,304	667,914,839	348,484,973	321,803,007
	Total gross written premiums		681,335,304	667,914,839	348,484,973	321,803,007
4 (b). Premiums ceded to reinsurers on insurance contracts			Six Months Ended 30 June Unaudited 2019 Rs	Six Months Ended 30 June Unaudited 2018 Rs	Three Months Ended 30 June Unaudited 2019 Rs	Three Months Ended 30 June Unaudited 2018 Rs
	Conventional Policies		(24,276,905)	(17,256,347)	(11,759,545)	(9,721,587)
	Total premiums ceded to reinsurers		(24,276,905)	(17,256,347)	(11,759,545)	(9,721,587)
	Total net written premiums		657,058,399	650,658,492	336,725,428	312,081,420
5. INVESTMENT INCOME			Six Months Ended 30 June Unaudited 2019 Rs	Six Months Ended 30 June Unaudited 2018 Rs	Three Months Ended 30 June Unaudited 2019 Rs	Three Months Ended 30 June Unaudited 2018 Rs
	Available-for-sale financial assets					
	Interest income		27,973,279	33,395,494	11,830,848	15,835,179
	Loans and receivables interest income		96,425,057	59,702,649	52,992,733	34,174,264
	Total investment income		124,398,336	93,098,143	64,823,581	50,009,443

6. EARNINGS/(LOSS) PER SHARE

Basic earnings per share amounts is calculated by dividing the net profit/ loss for the year attributable to ordinary shareholders of the parent by the weighted average number of ordinary shares outstanding at the reporting date.

	Six Months Ended 30 June Unaudited 2019 Rs	Six Months Ended 30 June Unaudited 2018 Rs	Three Months Ended 30 June Unaudited 2019 Rs	Three Months Ended 30 June Unaudited 2018 Rs
Profit/(Loss) for the year	42,161,210	31,100,623	21,824,326	16,823,260
Weighted Average Number of Ordinary Shares (Nos)	67,556,487	67,556,487	67,556,487	67,556,487
Basic earnings / (loss) per ordinary share Rs	0.62	0.46	0.32	0.25

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of completion of these financial statements.

7. Initial Application of SLFRS 16 - Leases

SLFRS 16 sets out the Principles for the recognition, measurement, presentation and disclosure of leases. This introduces a single, on-balance sheet lease accounting model for lessees. The standard removes the current distinction between operating and financing leases and requires recognition of an asset and a financial liability to pay rentals for virtually all lease contracts. An optional exemption exists for short term and low-value leases. Lessor accounting remains similar to the current standard. Lessee will be required to separately recognize the interest expense on the lease liability and depreciation expense on the right-of-use asset.

The company as a lessee has applied SLFRS 16 as initial application of 01st January 2019 using the modified retrospective approach at the present value of the remaining lease payments discounted using the incremental borrowing rate, on the lease-by-lease basis and therefore the comparative information has not been restated and continuous to be reported under LKAS 17 at the present value of the remaining lease payments discounted using the incremental borrowing rate, on the lease-by-lease basis.

	30-Jun-19 Unaudited Rs	31-Dec-18 Audited Rs
7.1 Right of use Lease Asset		
Opening right of use lease asset as at 01st January	137,413,781	-
Additions of right of use lease asset during the period	16,399,837	-
Net Depreciation for the period	(30,678,177)	-
Rent Payable		
Advance payment for leases	6,740,000	-
Closing right of use lease asset as at 30th June	129,875,441	-
7.2 Amount Recognised in Statement of Profit or Loss		
Lease Depreciation	(23,389,776)	-
Amortization of advance	(7,288,401)	-
	(30,678,177)	-
7.3 Lease Liability (Lease Creditor)		
Opening lease Creditor as at 01st January	123,998,064	-
Additions during the period	16,399,837	-
Finance cost recognised in profit and loss	9,288,031	-
Lease payments	(16,696,078)	-
Closing lease Creditors as at 30th June	132,989,854	-

8. FINANCIAL ASSETS

The Company's financial instruments are summarised by categories as follows:

	30-Jun-19 Unaudited Rs	31-Dec-18 Audited Rs
Loans and receivables	1,896,696,988	1,507,403,917
Available-for-sale financial assets	326,642,413	520,861,875
Total financial instruments	2,223,339,402	2,028,265,792

The following table consists of the fair values of the financial investments together with their carrying values.

	30-Jun-19 Carrying value Unaudited Rs	30-Jun-18 Fair value Unaudited Rs	31-Dec-18 Carrying value Audited Rs	31-Dec-18 Fair value Audited Rs
Loans and receivables	1,896,696,988	1,896,696,988	1,507,403,917	1,507,403,917
Available-for-sale financial assets	326,642,413	326,642,413	520,861,875	520,861,875
Total financial instruments	2,223,339,402	2,223,339,402	2,028,265,792	2,028,265,792
8 (a). Loans and receivables				
Investment in Corporate Debt			885,905,562	754,152,042
Investment in Fixed Deposit			410,942,341	342,069,407
Investment in Repos			639,849,085	397,985,002
Investment in Commercial Papers			-	53,197,466
			1,936,696,988	1,547,403,917
Provision for Impairment			(40,000,000)	(40,000,000)
			1,896,696,988	1,507,403,917
8 (b). Available for sale financial assets				
Investments in Government Securities			326,642,413	520,861,875
			326,642,413	520,861,875

9. INSURANCE CONTRACT LIABILITIES		30-Jun-19 Unaudited Rs	31-Dec-18 Audited Rs
Balance as at beginning		1,325,869,400	1,025,457,000
Change in contract liabilities life fund			
Increase in Life insurance fund before surplus transfer	8 (a)	135,739,990	442,808,983
Surplus transferred from share holders		-	(133,076,787)
Increase in Life insurance fund		135,739,990	309,732,196
Movement in AFS reserve transferred to life fund		10,291,006	(9,319,796)
Balance as at end of the Periods		1,471,900,395	1,325,869,400

9 (a) Increase in Life insurance fund before surplus transfer

	2019 June (Unaudited)		
	Gross Insurance Contract Liabilities	Reinsurance on contract liabilities	Net Insurance Contract Liabilities
	Rs	Rs	Rs
Premiums received	681,335,304	(24,276,905)	657,058,399
Liabilities paid for death, benefits and claims	(171,775,152)	45,493,426	(126,281,726)
Underwriting and Net Acquisition Costs	(318,866,062)		(318,866,062)
Fees (deducted)/received	18,202,475		18,202,475
Investment return	82,231,126		82,231,126
Realise Gain	21,327,018		21,327,018
Other operating and administrative expenses	(197,931,238)		(197,931,238)
As at 30 June 2019	114,523,469	21,216,521	135,739,990

	2018 December (Audited)		
	Gross Insurance Contract Liabilities	Reinsurance on insurance contract liabilities	Net Insurance Contract Liabilities
	Rs	Rs	Rs
Premiums received	1,387,432,252	(41,327,272)	1,346,104,980
Liabilities paid for death, benefits and claims	(197,416,375)	28,469,805	(168,946,570)
Underwriting and Net Acquisition Costs	(563,453,833)	-	(563,453,833)
Fees (deducted)/received	33,288,015	-	33,288,015
Investment return	123,832,604	-	123,832,604
Realise Gain	13,823,318	-	13,823,318
Other operating and administrative expenses	(341,839,533)	-	(341,839,533)
As at 31 December 2018	455,666,447	(12,857,467)	442,808,983

INSURANCE CONTRACT LIABILITIES - LIFE

The valuation of the Insurance Contract Liabilities have been carried out by the consultant Actuaries for the year ended 31st December 2018 and

based on that adequate provisions have been made in these Condensed Consolidated Interim Financial Statements.

Liability Adequacy Test (LAT)

The Company carried out a Liability Adequacy Test (LAT) for the period ended 31 st December, 2018 in respect of Life Insurance Contract Liabilities (Insurance Provisions) as required by SLFRS 4 - Insurance Contracts with the assistance of an Independent Consultatant M/S Acturial Partners. Based on that valuation,the recorded liabilities are adequate to meet future obligations arising from Life Insurance Contracts in light of estimated future cash flows.

Arpico Insurance PLC

Notes to Interim Financial Statements

10. TAXATION AND DEFERRED TAX

Arpico Insurance PLC is liable for income tax at 28% (2018 -28%)

The taxation basis of life insurance business changed from 01 April 2018 with the coming into effect of the Inland Revenue Act No. 24 of 2017 where a surplus based taxation basis is adopted replacing what was commonly known as "I-E" basis of taxation. However, the profits of Life Shareholders' fund will be taxed along a basis of "I-E".

Deferred Taxation is provided using the liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the tax base of assets and liabilities, which is the amount attributed to those assets and liabilities for tax purposes. The amount of deferred tax provided is based on the expected manner of realization or settlement of the carrying amount substantively enacted by the reporting date.

Deferred tax assets, including those related to temporary tax effects of income tax losses and credits available to be carried forward, are recognized only to the extent that it is probable that future taxable profits will be available against which the asset can be fully utilized. Deferred tax assets, if any, are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

Accordingly the company made an assessment of future taxable profits and identified that total tax losses can be claimed within the prescribed period of the new Act. Accordingly a deferred tax asset has been recognized amounting to Rs. 304 Mn.

11. AMOUNTS DUE TO RELATED PARTY

Related Party	Relationship	30-Jun-18 Unaudited Rs	31-Dec-18 Audited Rs
Richard Pieris & Company PLC	Ultimate Parent	10,777,416	-
Richard Pieris Distributors Limited	Affiliate	2,641,416	4,768,637
Arpitech (pvt) Ltd	Affiliate	421,745	467,980
Arpico Interiors (Pvt) Ltd	Affiliate	780,183	701,109
Richard Pieris Finance Ltd	Affiliate	-	1,246,811
		14,620,760	7,184,537

12. CONTINGENT LIABILITIES

Contingent liabilities are not recognized in the Statement of Financial Position but disclosed if there is a possible future obligation as a result of a past event or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated as at the date of Statement of Financial Position. As at the 30th June 2019, end of the interim period no material capital commitment and contingencies approved by the board and contracted for which no provision has been made in interim financial statements.

13. EVENTS OCCURRING AFTER THE REPORTING DATE

The directors give due consideration to and where necessary adjustments or disclosures are made in the current Financial Statements in respect of material post Statement of financial position events as appropriate. There have been no material event occurring after the reporting date that require adjustments to or disclosure in the interim financial statements.

Arpico Insurance PLC

Notes to Interim Financial Statements

For the six months Ended 30 June

Share Information

Top 20 Shareholders

Name of the Shareholder	As at 30th June 2019	
	<u>Shareholding</u>	<u>% on Issued Shares</u>
1 KEGALLE PLANTATIONS PLC	26,685,001	40.29
2 RICHARD PIERIS DISTRIBUTORS LIMITED	17,790,001	26.86
3 RICHARD PIERIS AND CO PLC	15,125,001	22.84
4 MR.J.P.PAUL	1,629,117	2.46
5 MR.C.S.N.SILVAPULLE	668,399	1.01
6 MR.H.V.SENAWEEERA	440,053	0.66
7 MRS. M.P.B. FERNANDO	425,000	0.64
8 MR.S. SIVASHANTH	400,000	0.60
9 MR.B.A.R.DISSANAYAKE	200,000	0.30
10 MR.A.P.ARUMUGAMPILLAI	200,000	0.30
11 MERCHANT BANK OF SRI LANKA & FINANCE PLC/S	154,999	0.23
12 PEOPLES LEASING & FINANCE PLC/MR.K.J.GAMAGE	150,000	0.23
13 MRS.M.S.E.V.E.A.U. VON STUMM	150,000	0.23
14 MR.F.N.HERFT	143,811	0.22
15 MR.M.L.A.BENEDICT	122,890	0.19
16 MR.T.A.N.GOMIS	109,878	0.17
17 MR.S.A.OBEYESEKERE	103,300	0.16
18 FLYBRUNEI SDN BHD	99,700	0.15
19 MR.P.B.PERERA	88,544	0.13
20 ASSETLINE LEASING COMPANY LTD/MR.K.	79,459	0.12
	<u>64,765,153</u>	<u>97.79</u>

Public Shareholding

	As at 30th June 2019	
	<u>No. of Shares</u>	<u>% on Issued Shares</u>
Number of Shares	<u>6,630,404</u>	<u>10.01</u>
Float Adjusted Market Capitalization		114,693,183
	<u>No. of Shares</u>	<u>% on Issued Shares</u>
Number of Shareholders	<u>621</u>	<u>99.36</u>

Directors' Shareholdings

There is no share holding by the directors as 30th June 2019

Number of Shares

No. of shares representing the Stated Capital	66,230,407
Class of Share	Ordinary
Voting Rights	One vote per Ordinary Share

Share Performance

Net Asset Value Per Share as at As at 30th June 2019	22.3
Highest Price Per Share for the Interim Period	17.8
Lowest Price Per Share for the Interim Period	15.6
Last traded Price Per Share as at As at 30th June 2019	16.0